

Q.1 Which of the following is a component of residential fixed investment?

- A. Spending on housing units by consumers and landlords**
 - B. Spending on commercial properties
 - C. Investment in business inventories
 - D. Spending on agricultural land
-

Q.2 How are factor prices determined in the economy?

- A. Through supply and demand in factor markets**
 - B. Based on consumer spending
 - C. By government policies
 - D. By international trade agreements
-

Q.3 What is the government's official measure of economic output in any country?

- A. Gross Domestic Product (GDP)**
 - B. Human Development Index (HDI)
 - C. Consumer Price Index (CPI)
 - D. Net National Product (NNP)
-

Q.4 Why intermediate goods are NOT included in GDP calculations?

- A. They do not have any value
 - B. They are sold at lower prices
 - C. They are not produced domestically
 - D. Including them would lead to double counting**
-

Q.5 Which of the following is an example of a stock variable?

- A. Annual savings
 - B. Monthly income
 - C. GDP
 - D. Government debt**
-

Q.6 Who introduced the concept of invisible hand in economics?

- A. John Maynard Keynes
 - B. David Ricardo
 - C. Karl Marx
 - D. Adam Smith**
-

Q.7 What does the Consumer Price Index (CPI) measure?

- A. Total market value of all goods and services produced in an economy
 - B. Unemployment rate
 - C. Overall level of prices for a basket of goods and services**
 - D. Income earned by households
-

Q.8 Which of the following illustrates the trade-off between inflation and unemployment?

- A. Supply and demand curve
 - B. Phillips curve**
 - C. Laffer curve
 - D. Production possibility frontier
-

Q.9 What does flexible prices represent in economics?

- A. Short run
 - B. Both short run and long run
 - C. Long run**
 - D. Medium run
-

Q.10 If consumption (C) decreases, what will be the effect on total demand (Y)?

- A. Total demand will become double
 - B. Total demand will remain unchanged
 - C. Total demand will increase
 - D. Total demand will decrease**
-

Q.1 Who introduced the concept of invisible hand in economics?

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-

Q.2 What does the supply curve show?

- A. A negative relationship between price and quantity supplied
 - B. No relationship between price and quantity supplied
 - C. A fixed quantity supplied regardless of price
 - D. A positive relationship between price and quantity supplied**
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Q.3 What is the formula for determining the rental rate of capital?

- A. $MPK = R/P$**
 - B. $MPK = MPL \times K$
 - C. $MPK = W/P$
 - D. $MPK = K/L$
-

Q.4 Which of the following best describes the concept of opportunity cost?

- A. Benefits of an alternative that was chosen
 - B. Financial cost of attending college
 - C. Total cost of an item
 - D. Value of the next best alternative foregone**
-

Q.5 Which of the following defines the concept of scarcity?

- A. Conflict between limited resources and unlimited wants
 - B. Distribution of wealth in society
 - C. Ability to produce goods without limitations**
 - D. Availability of unlimited resources
-

Q.6 How to define the concept of market failure in economics?

- A. Government intervenes in the market
 - B. Prices remain constant in the market
 - C. Market allocates resources efficiently
 - D. Market fails to allocate resources efficiently**
-

Q.7 What happens to the equilibrium price and quantity when income increases?

- A. The equilibrium price decreases while quantity increases
 - B. Both the equilibrium price and quantity decrease
 - C. The equilibrium price increases while quantity decreases
 - D. Both the equilibrium price and quantity increase**
-

Q.8 Which of the following is a component of business fixed investment?

- A. Spending on clothing
 - B. Spending on plant and equipment**
 - C. Buying shares of stock
 - D. Household appliances
-

Q.9 Why intermediate goods are NOT included in GDP calculations?

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 - B. Including them would lead to double counting**
 - C. They are sold at lower prices
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-

Q.10 How are factor inputs compensated according to the Neoclassical Theory of Distribution?

- A. Through bargaining agreements
 - B. Based on government-imposed wages
 - C. According to their marginal product**
 - D. Equal distribution
-

Q.1 Which of the following is NOT a tool of monetary policy used by the central bank?

- A. Discount rate adjustments
 - B. Reserve requirements
 - C. Taxation policies**
 - D. Open Market Operations (OMO)
-

Q.2 What does the circular flow model illustrate?

- A. Interaction between households and firms in an economy**
 - B. Relationship between government and foreign markets
 - C. Impact of inflation on income
 - D. Movement of goods and services in an economy
-

Q.3 Which of the following best describes equity?

- A. Increasing total output without considering fairness
 - B. Achieving the lowest costs of production
 - C. Maximizing production
 - D. Fair distribution of resources among society members**
-

Q.4 What is the slope of investment function?

- A. Negative
 - B. Positive**
 - C. Vertical
 - D. Horizontal
-

Q.5 What is the slope of loanable funds supply curve?

- A. Vertical
 - B. Upward**
 - C. Downward
 - D. Horizontal
-

Q.6 What is one way to measure a nation's standard of living?

- A. By comparing social welfare programs
 - B. By comparing political stability
 - C. By comparing total market value of a nation's production**
 - D. By comparing environmental sustainability
-

Q.7 Which of the following is true about society's resources?

- A. Society has infinite resources
 - B. Society can satisfy all consumer desires
 - C. Society has limited resources**
 - D. Society can produce unlimited goods
-

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Q.10 What is the government's official measure of economic output in any country?

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 - B. Gross Domestic Product (GDP)**
 - C. Net National Product (NNP)
 - D. Human Development Index (HDI)
-

Q.1 When a factor input is increased while holding other inputs constant, what will happen to the marginal product of that factor input?

- A. Becomes negative immediately
- B. Increases indefinitely
- C. Falls due to diminishing marginal returns**
- D. Remains constant

Q.2 What determines the equilibrium in the loanable funds market?

- A. Government spending
- B. Tax rates
- C. Nominal interest rate
- D. Real interest rate**

Q.3 Which of the following is NOT a tool of monetary policy used by the central bank?

- A. Open Market Operations (OMO)
- B. Discount rate adjustments
- C. Taxation policies**
- D. Reserve requirements

Q.4 What is the primary cause of inflation according to the classical theory?

- A. Reduction in aggregate demand
- B. Decrease in government spending
- C. Increase in the money supply**
- D. Decrease in interest rates

Q.5 How to define nominal GDP in an economy?

- A. Production capacity of an economy
- B. Total consumption of a country
- C. Value of final goods and services at constant prices
- D. Value of final goods and services at current prices**

Q.6 In the equation: $Y = C + I + G + NX$, what does NX stand for?

- A. Net exports**
- B. Net taxation
- C. Net foreign demand
- D. Net investment

Q.7 Which of the following represent the national saving?

- A. $(Y - T) - C + T - G$**
- B. $T - G$
- C. $(Y - T) - C$
- D. $Y + C$

Q.8 Which economic variable is influenced by the trade policies?

- A. Interest rates
- B. Government budget deficit
- C. Exchange rate**
- D. Labor laws

Q.9 What does a rising GDP deflator indicate?

- A. Decreasing output in an economy
 - B. Decreasing inflation rates in an economy
 - C. A constant price level in an economy
 - D. Increasing levels of prices in an economy**
-

Q.10 How is inflation defined in terms of economics?

- A. Temporary rise in wages
 - B. Decrease in the real value of money**
 - C. Increase in consumer savings
 - D. Fall in employment rates
-

Q.1 According to the closed economy model, what assumption is made about technology?

- A. Technology is constantly changing
 - B. Technology is fixed**
 - C. Technology does not impact production
 - D. Technology is influenced by government policies
-

Q.2 What does the circular flow model represent?

- A. Government's taxation policies
 - B. International trade system
 - C. Working of financial institutions
 - D. Flow of money and goods in an economy**
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Q.3 Which of the following equation shows the Aggregate Supply (AS)?

- A. $AS = C + I + G$
 - B. $AS = C(Y - T)$
 - C. $AS = f(K, L)$**
 - D. $AS = I(r) + G$
-

Q.4 Which of the following is an example of fiat money?

- A. Paper currency**
 - B. Diamonds
 - C. Silver bars
 - D. Gold coins
-

Q.5 Which of the following represent the government spending (G)?

- A. Only transfer payments
 - B. Only defense expenditures
 - C. Only social security payments
 - D. Spending on goods and services**
-

Q.6 How to define real GDP in an economy?

- A. Value of final goods and services at current prices
 - B. Changes in nominal GDP over time
 - C. Total monetary wealth of a nation
 - D. Value of final goods and services at constant prices**
-

Q.7 What does the real wage (W/P) represent?

- A. Total salary paid by a firm
 - B. Wage adjusted for inflation**
 - C. Government minimum wage
 - D. Wage in terms of foreign currency
-

Q.8 How is total labor income calculated?

- A. $MPK \times K$
 - B. $W/P \times K$
 - C. $MPL \times L$**
 - D. $R/P \times L$
-

Q.9 What determines the distribution of national income?

- A. Factor prices**
 - B. Government spending
 - C. Consumer preferences
 - D. Number of firms in the economy
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Q.10 What is the purpose of trade policies in macroeconomics?

- A. To control inflation rates
 - B. To operate individual businesses
 - C. To manage interest rates
 - D. To regulate balance of imports and exports**
-

Q.1 What is important in making rational decisions?

- A. Ignoring personal preferences
 - B. Following societal norms
 - C. Comparing costs and benefits of alternatives**
 - D. Considering only the benefits
-

Q.2 What does the Consumer Price Index (CPI) measure?

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 - C. Overall level of prices for a basket of goods and services**
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-

Q.3 What are the major components of aggregate demand in a closed economy?

- A. Consumption, Investment, Government spending and Net exports
 - B. Consumption, Investment and Net exports
 - C. Consumption, Government spending and imports
 - D. Consumption, Investment and Government spending**
-

Q.4 What is the slope of demand curve?

- A. Vertical
 - B. Negative**
 - C. Horizontal
 - D. Positive
-

Q.5 How to define the concept of market failure in economics?

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-

Q.6 What is the function of money as a store of value?

- A. To buy goods and services
 - B. To store purchasing power for the future**
 - C. To measure prices and values
 - D. Money represents an economy's total wealth
-

Q.7 In the production function, $Y = F(K, L)$, what does K represent?

- A. Government spending
 - B. Exchange rates
 - C. Capital**
 - D. Demand for goods
-

Q.8 What is the slope of labor demand curve?

- A. Vertical
 - B. Positive
 - C. Negative**
 - D. Horizontal
-

Q.9 What does the term "depreciation" refer to in the context of NNP?

- A. Indirect business taxes collected
 - B. Increase in production costs
 - C. Decrease in value of assets over time**
 - D. Total market value of final goods
-

Q.10 How is the National Income (NI) calculated?

- A. $NI = GNP + \text{Indirect Business Taxes}$
 - B. $NI = NNP - \text{Indirect Business Taxes}$**
 - C. $NI = GNP - \text{Depreciation} + \text{Indirect Business Taxes}$
 - D. $NI = NNP + \text{Depreciation}$
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